APPENDIX A – FAQs

Where can I find software or a website to backtest my own allocations and strategies?

We send out a basic Excel backtester to subscribers of The Idea Farm that will let you test all of the allocations in this book. Data will soon be updated through 2014.

Below are a few free or low-cost options you can access on the web:

- Portfolio Visualizer
- Alpha Architect
- ETF Replay

You can also download free data sources to Excel and test on your own.

What about other asset classes?

This book is meant to describe the main asset classes that comprise the majority of the global market portfolio. The allocations provided in this piece form the basis for a core portfolio. However, many asset classes are perfectly reasonable in an asset allocation framework to include in the core or perhaps as satellite allocations – MLPs, infrastructure, emerging market bonds, municipal bonds, frontier market stocks, global TIPs, or even catastrophe bonds.

What about “Smart Beta” strategies?

Smart beta is a phrase that refers to strategies that move away from the broad market cap portfolio. (So in U.S. stocks, think the S&P 500 versus a portfolio sorted on dividends or perhaps equally weighted.) The market cap portfolio *is* the market, and the returns of the market portfolio are the returns the population of investors receive before fees, transaction costs, etc. However, market cap weighting is problematic.

Market cap weighted indexes have only one variable - size - which is largely determined by price. (While not the topic of this book, market cap indexes often overweight expensive markets and bubbles – you can find more information in our book *Global Value*.) Many smart beta strategies weight their holdings by factors that have long shown outperformance, including value, momentum, quality, carry, and volatility.